

CIVIL PROCEDURE: PERSONAL JURISDICTION

Gray v. American Radiator & Standard Sanitary Corp. - World-Wide Volkswagen Corp. v. Woodson
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PART I - BRIEFS

1. Gray v. American Radiator & Standard Sanitary Corp.

22 Ill. 2d 432, 176 N.E.2d 761 (Ill. 1961). Supreme Court of Illinois. Klingbiel, J. No. 35872. Opinion filed June 14, 1961; rehearing denied September 20, 1961. Direct appeal from the Circuit Court of Cook County.

Parties

Appellant and plaintiff: Phyllis Gray, an Illinois resident who sought damages for injuries caused by an exploding water heater.

Nonresident defendant and appellee: Titan Valve Manufacturing Company, an Ohio corporation that manufactured the heater's safety valve and challenged Illinois personal jurisdiction. **Defendant, cross-claimant, and additional appellant:** American Radiator & Standard Sanitary Corporation, which incorporated Titan's valve into its water heater and sought contractual indemnification from Titan if Gray recovered against it. Other defendants named in the underlying products-liability action were outside the jurisdictional issue decided on appeal.

Procedural History

Cook County filing and statutory basis: Gray filed a damages action in the Circuit Court of Cook County against Titan, American Radiator, and others. Her complaint alleged that Titan negligently manufactured the safety valve and that the defect proximately caused the explosion and her Illinois injuries. Illinois Civil Practice Act section 17(1)(b), Ill. Rev. Stat. 1959, chapter 110, paragraph 17, treated a nonresident's commission of a tortious act within Illinois as submission to Illinois jurisdiction. Section 16, paragraph 16, authorized personal delivery of summons outside the State to a nonresident who had so submitted.

Out-of-state service: Summons issued and was personally served on Titan's registered agent in Cleveland, Ohio. The service therefore depended on two distinct propositions: section 17 had to create adjudicatory authority over Titan, and section 16 had to supply a valid method for notifying Titan outside Illinois. Titan conceded the adequacy and statutory regularity of the section 16 notice for purposes of the appeal; it contested Illinois's authority to bind it.

Special appearance and motion to quash: Titan appeared specially, preserving its objection to personal jurisdiction while asking the court to quash service. Its affidavit stated that Titan conducted no business in Illinois, maintained no agent physically present there, and sold its completed valves to American Radiator outside Illinois. Titan argued that manufacturing conduct in Ohio supplied no tortious act within Illinois under section 17(1)(b), and that treating the Illinois injury as a sufficient contact would exceed the Fourteenth Amendment.

Cross-claim and trial-court ruling: American Radiator answered Gray's complaint and cross-claimed against Titan. The cross-claim alleged that Titan made warranties to American Radiator and owed indemnification if American Radiator became liable to Gray. The circuit court granted Titan's motion, quashed the out-of-state service, and dismissed both Gray's complaint and American Radiator's cross-claim against Titan. The court thereby ended Titan's participation before any adjudication of negligence, warranty, indemnity, causation, or damages.

Direct appeal and final disposition: Gray appealed directly to the Supreme Court of Illinois because Titan's due-process challenge placed a constitutional question in issue. American Radiator also supported reversal of the order that eliminated its cross-claim. The Illinois Supreme Court reversed and remanded with directions to deny Titan's motion to quash. The merits returned to the Cook County circuit court with Titan subject to personal jurisdiction. The court denied rehearing on September 20, 1961.

Material Facts

Titan manufactured the safety valve in Ohio and sold the completed valve to American Radiator outside Illinois. American Radiator incorporated the valve into a hot-water heater in Pennsylvania. The heater then moved through ordinary commercial distribution to an Illinois consumer. It exploded in Illinois and injured Gray there. Gray alleged that negligent valve construction proximately caused the injury. The appellate record identified no direct Illinois sales, employees, office, or agent of Titan and supplied no quantified volume for Titan products reaching Illinois.

Titan did not characterize this heater's Illinois use as an isolated instance. The court inferred from the ordinary commercial distribution of appliances that Titan's transactions produced substantial use of its valves in Illinois and that the valves were manufactured for incorporation into products expected to reach ultimate consumers in multiple States. Illinois was also the place of injury, Gray's residence, the likely location of injury and damages witnesses, and the jurisdiction whose substantive law would govern the occurrence.

Question Presented

Two questions: (1) Does Illinois Civil Practice Act section 17(1)(b) classify a tort as committed in Illinois when the defendant's negligent manufacturing occurred elsewhere and the final injury necessary for tort liability occurred in Illinois? (2) If the statute reaches that conduct, does the Fourteenth Amendment permit Illinois to exercise in-personam jurisdiction over the component manufacturer through personal service on its Ohio registered agent?

Holding

Statutory authorization: Yes. A tortious act under section 17(1)(b) includes the injury that completes the alleged tort. Illinois was the place of the wrong because the final event necessary to liability occurred there. **Constitutional authority:** Yes. Titan's placement of valves into the ordinary commercial chain, with ultimate use in Illinois contemplated and with the present claim arising from an Illinois injury caused by the product, supplied a substantial forum connection. The forum's interests, local evidence, modern distribution practices, and manageable litigation burden made the exercise reasonable. **Notice:** Service on Titan's Ohio registered agent under section 16 furnished the accepted method of notification. **Disposition:** Reversed and remanded with directions to deny the motion to quash.

Reasoning

Analytical order and competing positions: The court proceeded through three separate civil-procedure questions. First, it interpreted the Illinois long-arm statute. Second, it tested the authorized jurisdiction against the Fourteenth Amendment. Third, it confirmed that the chosen service method supplied reasonable notification. Gray and American Radiator treated the Illinois injury and ordinary distribution of Titan's product as the forum connection. Titan located the relevant act at its Ohio factory and emphasized the absence of Illinois personnel, direct sales, and a documented Illinois business volume.

Meaning of 'tortious act': The statutory phrase incorporated the complete tort. Negligent conduct becomes legally tortious through resulting injury; the injury therefore forms an inseparable part of the statutory event. Using the then-prevailing place-of-wrong rule from Restatement of Conflict of Laws section 377, the court located the tort where the last event required for liability occurred. Gray's injury completed the alleged tort in Illinois. This construction allowed section 17(1)(b) to reach Titan even though its employee performed the manufacturing conduct in Ohio. 22 Ill. 2d at 435-36.

Statutory reach and constitutional limit: Illinois precedent construed section 17 as reaching nonresidents to the boundary permitted by due process. That construction did not collapse the two inquiries. The legislature supplied the asserted authority through sections 16 and 17; the Fourteenth Amendment independently determined whether Illinois could enter a binding personal judgment. Titan's special appearance properly presented both issues before the merits.

Notice and adjudicatory power: The court expressly separated minimum contacts from notification. Section 16's personal service on Titan's registered agent gave Titan a realistic opportunity to appear and defend. The constitutional power question asked whether Titan's own commercial relationship to Illinois made the resulting judgment legitimate. Titan's concession on notice left the second question as the live constitutional dispute. 22 Ill. 2d at 436-37.

Development from Pennoyer through International Shoe: The court described personal jurisdiction as moving from Pennoyer's territorial service model toward International Shoe's evaluation of contacts, fair play, and substantial justice. International Shoe showed that a systematic claim-producing course of forum business supports jurisdiction; Perkins showed that sufficiently substantial forum activity can support claims arising elsewhere; Hanson required a connection created through the defendant's invocation of forum benefits. Gray used those authorities to ask whether this particular transaction and injury formed a substantial Illinois connection. 22 Ill. 2d at 437-41.

Single transaction and claim relationship: McGee established that one deliberate, continuing transaction can support specific jurisdiction when the claim arises from that transaction. Gray extended the same claim-centered logic to products: quantified continuous business supplied one route to minimum contacts, while a product transaction substantially connected to the forum and producing the lawsuit supplied another. The cause of action arose directly from the valve's Illinois use and injury. 22 Ill. 2d at 438-40.

Commercial distribution and indirect benefits: Modern component manufacturers commonly reach consumers through assemblers and independent middlemen. Titan elected to manufacture valves for incorporation into heaters sold in interstate commerce. The court inferred that this commercial design led to substantial Illinois use and allowed Titan to benefit from Illinois law protecting the marketing and consumption of products containing its valves. The distributor's physical delivery, rather than Titan's own shipment, preserved the commercial relationship between Titan's conduct and Illinois. 22 Ill. 2d at 441-43.

Forum and litigant interests: Illinois possessed a direct regulatory and remedial interest because an Illinois resident suffered injury in Illinois from a product used there. Illinois substantive law governed the occurrence, and witnesses concerning injury, damages, and the explosion were likely located there. Modern transport and communication reduced Titan's defense burden. Those circumstances made Illinois a convenient and reasonable forum for resolving the product-related dispute. 22 Ill. 2d at 443-44.

Connection to World-Wide Volkswagen: Gray later appears on both levels of *World-Wide Volkswagen*. The Oklahoma Supreme Court declined to use Gray's place-of-injury construction for Oklahoma subsection 1701.03(a)(3) because Oklahoma's adjacent subsection (a)(4) expressly governed out-of-state acts producing in-state injuries. The U.S. Supreme Court cited Gray when describing jurisdiction over a manufacturer or distributor that delivers products into commercial distribution with an expectation that consumers will purchase them in the forum. The comparison makes defendant-directed market distribution the important factual bridge.

1L explanation: Start with the Illinois statute. Injury in Illinois completed the alleged tort and activated section 17(1)(b); section 16 then supplied out-of-state personal service. Due process asked whether Titan's commercial placement of the valve, its contemplated ultimate use in Illinois, and the claim-producing Illinois injury formed a fair forum relationship. The court answered yes and restored both Gray's claim and American Radiator's cross-claim against Titan.

2. World-Wide Volkswagen Corp. v. Woodson

444 U.S. 286 (1980). U.S. Supreme Court. White, J. Argued October 3, 1979; decided January 21, 1980. No. 78-1078. Certiorari to World-Wide Volkswagen Corp. v. Woodson, 1978 OK 131, 585 P.2d 351 (Okla. 1978).

Parties

Petitioners and jurisdictional objectors: World-Wide Volkswagen Corporation, a New York corporation serving as the regional distributor for Volkswagen products sold to dealers in New York, New Jersey, and Connecticut; and Seaway Volkswagen, Inc., the New York retail dealer in Massena that sold the Robinsons' Audi. **Underlying plaintiffs and respondents:** Kay Robinson, suing for her own injuries; Harry Robinson, individually and as father and next friend for the injured children; and the children, including Eva May Robinson and George Samuel Robinson. **Named judicial respondent:** Charles S. Woodson, District Judge of Creek County, whose continued exercise of in-personam jurisdiction the petitioners sought to prohibit.

Other underlying defendants: Audi NSU Auto Union Aktiengesellschaft, the manufacturer, and Volkswagen of America, Inc., the U.S. importer. Volkswagen also entered a special appearance in the trial court, then declined to seek Oklahoma Supreme Court review. Audi and Volkswagen therefore remained defendants in the Oklahoma action and were outside the jurisdictional judgment reviewed by the U.S. Supreme Court.

Procedural History

Products-liability filing: After the Oklahoma accident, the Robinsons filed a manufacturers' products-liability action in the District Court for Creek County, Oklahoma. They alleged defective design and placement of the Audi's gasoline tank and fuel system and joined the manufacturer, importer, regional distributor, and retail dealer. Oklahoma's Uniform Interstate and International Procedure Act, 12 Okla. Stat. 1971 sections 1701.01 et seq., supplied the asserted long-arm authority over the out-of-state companies.

Special appearances and trial-court rulings: World-Wide and Seaway entered special appearances to contest personal jurisdiction under the Fourteenth Amendment. Their papers also used the phrases 'venue of the subject matter' and 'venue over the subject matter.' The Creek County court treated the appearances as special, rejected their constitutional objection, and denied reconsideration. Those rulings were unreported. The merits action remained pending.

Preservation and waiver issue: The Robinsons later argued that petitioners had waived their objection by combining personal-jurisdiction language with a challenge concerning subject matter and by taking merits depositions in Oklahoma. The trial court retained the special-appearance characterization, and the Oklahoma Supreme Court decided the jurisdictional questions. The U.S. Supreme Court accordingly treated the objection as preserved and reached the merits. 444 U.S. at 295 n.10.

Original proceeding for prohibition: World-Wide and Seaway invoked the Oklahoma Supreme Court's original jurisdiction and petitioned for a writ of prohibition directing Judge Woodson to stop exercising personal jurisdiction. Prohibition served as the pretrial vehicle for obtaining appellate review of adjudicatory authority before the petitioners litigated the products-liability merits. The Oklahoma Supreme Court assumed original jurisdiction and denied the writ. 1978 OK 131, paragraphs 0-3, 17.

Oklahoma statutory analysis: Section 1701.03(a)(3) covered tortious injury in Oklahoma caused by an act or omission in Oklahoma. The state court held that the alleged design and distribution acts occurred outside Oklahoma. It declined to classify the place of injury as the place of the act under *Gray*, because subsection (a)(4) separately governed an Oklahoma injury caused by an out-of-state act. Subsection (a)(4) authorized jurisdiction when the defendant regularly did or solicited Oklahoma business, engaged in another persistent Oklahoma course of conduct, or derived substantial revenue from goods used or consumed or services rendered in Oklahoma. 585 P.2d at 353-54.

Oklahoma ruling under subsection (a)(4): The state court reasoned that an automobile's designed mobility made Oklahoma use foreseeable and inferred from the vehicle's value and evidence of petitioners' goods being used in Oklahoma that the petitioners derived substantial revenue from goods used there. Five justices joined the opinion, two concurred in the result, and one concurred in part and dissented in part without opinion. The court therefore found statutory authority, assumed original jurisdiction, and denied prohibition. 585 P.2d at 354-55.

U.S. Supreme Court review and disposition: The Supreme Court granted certiorari, 440 U.S. 907 (1979), to resolve a conflict between Oklahoma and the highest courts of at least four other States concerning jurisdiction over out-of-state automobile sellers. The Court reviewed the Fourteenth Amendment question while accepting Oklahoma's authoritative construction of its own long-arm statute. By a six-to-three judgment, it reversed the Oklahoma Supreme Court. Oklahoma consequently lacked power to bind World-Wide and Seaway in this action; the claims against Audi and Volkswagen remained pending in Creek County. 444 U.S. at 290-91, 299 & nn.6, 9.

Material Facts

Harry and Kay Robinson, then New York residents, purchased a new Audi from Seaway in Massena, New York, in 1976. In 1977 the family left New York to establish a new home in Arizona. While they drove through Oklahoma, another vehicle struck the Audi from behind. The gasoline tank ruptured, fire entered the passenger compartment, and Kay Robinson and the children suffered severe burns. The other driver played no role in the jurisdictional litigation.

World-Wide's New York office administered a contractual regional distribution territory limited to New York, New Jersey, and Connecticut. Seaway was a New York corporation operating its dealership in Massena. The record treated World-Wide, Seaway, Volkswagen, and Audi as independent corporations connected by contracts. World-Wide and Seaway conducted no Oklahoma activity, closed no Oklahoma sales, performed no Oklahoma services, maintained no Oklahoma agent, shipped no products to Oklahoma, and purchased no advertising calculated to reach Oklahoma.

The evidentiary record contained one vehicle sold by these petitioners that had entered Oklahoma: the Robinson Audi, carried there by its purchasers during their interstate move. The petitioners received no direct revenue from Volkswagen service centers in Oklahoma. The forum relationship therefore depended on the vehicle's mobility, petitioners' role in the national automobile system, the Oklahoma accident, and the state court's inference of substantial revenue from cars used there.

Question Presented

Does the Fourteenth Amendment permit an Oklahoma court to exercise specific in-personam jurisdiction over a New York automobile retailer and a regional distributor when they limited their sales and distribution to the New York-New Jersey-Connecticut market, and their only case-specific Oklahoma connection arose when New York purchasers drove the automobile through Oklahoma and suffered the accident there?

Holding

Constitutional authority: No. Due process requires defendant-created affiliating circumstances connecting the defendant to the forum. *World-Wide and Seaway* directed no commercial activity toward Oklahoma, and the purchasers' unilateral transportation of one car through the State supplied the record's sole product entry. Designed mobility made interstate travel predictable, while the constitutionally operative foreseeability asked whether petitioners' own conduct made Oklahoma suit reasonably anticipatable.

Statutory ruling below: The Oklahoma Supreme Court had found subsection 1701.03(a)(4) satisfied; the U.S. Supreme Court held the resulting assertion beyond the Fourteenth Amendment. **Disposition:** The judgment denying prohibition was reversed.

Reasoning

Source of law and procedural posture: Oklahoma law defined the reach of the Oklahoma courts; the Due Process Clause supplied an independent federal ceiling. The Oklahoma Supreme Court was the final expositor of subsection 1701.03(a)(4), so certiorari brought the constitutional judgment to the U.S. Supreme Court. Because the case arrived through prohibition before trial, the record addressed forum affiliations rather than products-liability merits. The manufacturer and importer remained in the trial court, and the ruling concerned *World-Wide* and *Seaway* individually.

Minimum contacts and the two functions of due process: *International Shoe* requires a forum relationship consistent with fair play and substantial justice. The majority identified two functions for that requirement: protecting a defendant from distant or inconvenient litigation and maintaining the territorial allocation of coercive authority among coequal States. The latter function allows due process to withhold state power even where litigation burden is light and forum convenience is strong. 444 U.S. at 291-94.

Sequence of contacts and reasonableness: Forum interests enter the reasonableness inquiry through the forum's regulatory stake, the plaintiff's interest in convenient and effective relief, interstate judicial efficiency, and shared substantive policies. A defendant-created forum affiliation remains the predicate for exercising specific jurisdiction. Oklahoma's accident evidence, resident safety interest, and convenient location could inform fairness after that predicate; those interests could not create *World-Wide's* or *Seaway's* forum contact. 444 U.S. at 292-95.

Defendant-specific affiliations: Neither petitioner served or sought to serve the Oklahoma market. *World-Wide's* distribution territory ended with New York, New Jersey, and Connecticut; *Seaway's* retail sales occurred in Massena. The record showed no Oklahoma sales, services, agents, shipments, targeted advertisements, or indirect market cultivation by either company. The corporate relationships with Audi and Volkswagen were contractual, so the broader market presence of the manufacturer, importer, or service network did not become the contacts of these petitioners. 444 U.S. at 288-89, 295.

Operative foreseeability: The jurisdictional foreseeability described a legal consequence of the defendant's own forum-directed conduct: that conduct must make being haled into the forum's courts reasonably anticipatable. The physical likelihood that a mobile product will arrive in a State describes product movement. Here, the Robinsons' decision to transport the Audi supplied that movement, and Hanson assigned the unilateral activity to the purchasers. Petitioners' commercial conduct supplied no Oklahoma-directed counterpart. 444 U.S. at 295-98.

Products distributed to a forum market: The majority distinguished consumer travel from a commercial effort to serve a forum. A manufacturer or distributor that directly or indirectly cultivates a State's market and expects consumers there to purchase its products receives predictable exposure to suit when the product causes injury there. The opinion cited *Gray* as an example of products delivered into commercial distribution with an expectation of forum purchase. *World-Wide* and *Seaway* had restricted their own selling territory to the tristate region, leaving Oklahoma outside the markets they served. 444 U.S. at 297-98.

Substantial-revenue theory: The Oklahoma court inferred substantial revenue from the mobility and retail value of automobiles used in Oklahoma. The Supreme Court required the revenue to stem from a constitutionally cognizable forum contact. Petitioners received their sales revenue from their own regional market and received no direct revenue from Oklahoma service centers. Any value attributable to nationwide travel or collateral service availability remained too attenuated to establish Oklahoma affiliation. 444 U.S. at 298-99.

Predictability and primary conduct: Purposeful availment gives commercial actors advance notice of where their activity creates exposure to suit. They can structure distribution territories, purchase insurance, price litigation risk, and withdraw from markets whose costs they reject. Jurisdiction tied to every destination a consumer might choose would make the consumer's travel decision define the seller's judicial exposure. The majority assigned that exposure to markets the seller itself served. 444 U.S. at 297.

Relationship to *Pennoyer*, *International Shoe*, *McGee*, and *Hanson*: *Pennoyer* supplied the territorial and interstate-sovereignty inheritance; *International Shoe* translated amenability into minimum contacts and fair play; *McGee* showed that one defendant-created, claim-producing forum relationship can suffice; *Hanson* required purposeful availment and assigned unilateral contacts to the person who created them. *World-Wide* synthesized those decisions into a defendant-directed affiliation requirement and treated the fairness factors as part of a structured analysis. 444 U.S. at 291-98.

Justice Brennan's dissent: Brennan read International Shoe as a fairness-and-reasonableness standard in which contacts give content to the inquiry alongside the forum's interest and actual defense burden. Oklahoma hosted the accident, injury evidence, emergency response, and likely witnesses. Petitioners benefited from the national highway and dealership system that made interstate automobile use valuable. Those concrete interests and benefits made Oklahoma adjudication fair in his analysis. 444 U.S. at 299-313.

Justice Marshall's dissent, joined by Justice Blackmun: Marshall attributed interstate effects to petitioners' deliberate participation in a nationwide automobile marketing and servicing system. World-Wide was one of seven regional Audi distributors, and Seaway sold a product designed for long-distance travel whose value depended partly on nationwide service. He viewed out-of-state operation as the product's intended commercial use and found that purposeful economic structure sufficient when the defect caused injury in Oklahoma. 444 U.S. at 313-17.

Justice Blackmun's separate dissent: Blackmun emphasized the automobile as a distinct product whose ordinary function includes interstate movement. Oklahoma roads, police, accident investigation, and emergency aid supported that use and benefited professional distributors and dealers. He would have upheld jurisdiction over automobile professionals when the sold vehicle caused an Oklahoma accident, while leaving other product categories for their own factual analysis. 444 U.S. at 317-19.

Narrow holding and doctrinal handoff: The judgment addresses a local retailer and a regional distributor whose proved market activity stopped outside Oklahoma, coupled with one car carried into Oklahoma by its purchasers. The opinion also recognizes jurisdiction when a business itself serves the forum market and the distributed product causes injury there. Later product-jurisdiction disputes build on the boundary between a defendant's market-directed distribution and movement attributable to another actor.

1L explanation: Track the litigation vehicle and the actor responsible for each contact. The Oklahoma trial judge kept World-Wide and Seaway in the products case; those defendants used an original prohibition action to secure pretrial review; the Oklahoma Supreme Court found long-arm authority and denied relief; the U.S. Supreme Court accepted the preserved due-process question and reversed. The Robinsons brought the Audi into Oklahoma. World-Wide and Seaway structured no Oklahoma market activity. That attribution controlled the constitutional result.